



## Bata Q1FY23 Results were better than our expectations recording highest ever quarterly topline.

- **Revenue** at Rs 9430.2mn grew by 253% YoY and 7% over Q1FY20. Lower school shoes contribution v/s Pre-Covid was one of the key-reason for lower growth and some structural rationalization majority of which is over.
- Bata added 74 stores in Q1FY23 to reach 1888 stores QoQ. The growth was mainly led by +20 franchise and +36 SIS stores
- **EBIDTA margins** stood at 26% as against loss in Q1FY22 and 24.4% on a QoQ basis. However is still lower than 27.5% recorded in Q1FY20
- Raw Mat to Revenue stood at 43.4% v/s 43.8% YoY and was 42.4% on a QoQ basis, basically on account of product mix. Q1 generally has higher proportion of school shoes.
- **Rent concession was NIL as against Rs 43.25mn** in Q4FY22 and 230.59mn YoY. Despite this Other Expenses as % to Revenue dropped to 19.6% as against 35.6% YoY.
- EBIDTA in absolute terms stood at Rs 2446.34mn as against loss of 340mn YoY.
- PBT stood at 1597mn as against loss of Rs 949mn YoY and +89% on a QoQ basis.
- PAT stood at Rs 1194mn v/s loss of Rs 713mn YoY and Rs 630mn QoQ.

### Outlook: Downside limited, longterm Investor should HOLD

- Rationalization of un-profitable stores is almost done
- Getting volumes is critical
- Variabilize lot of costs post covid  
Franchise store helps in fast pace expansion even in metro hinterlands wherein the COCO store would take time to open

### Financial Summary

| Y/E Mar (Rs m n) | FY20   | FY21    | FY22    | FY23E  | FY24E  |
|------------------|--------|---------|---------|--------|--------|
| Net sales        | 30,561 | 17,085  | 23,877  | 37,452 | 39,767 |
| growth (%)       | 4.3    | (44.1)  | 39.8    | 56.9   | 6.2    |
| EBIDTA           | 8,321  | 1,622   | 4,185   | 8,975  | 9,930  |
| Margins          | 27     | 9       | 18      | 24     | 25     |
| PAT(adj)         | 3,290  | (847)   | 1,030   | 4,667  | 5,354  |
| growth (%)       | (0.0)  | (125.7) | (221.6) | 353.1  | 14.7   |
| EPS (Rs)         | 25.6   | (6.6)   | 8.0     | 36.3   | 41.7   |
| P/E (x)          | 75.2   | (292.1) | 240.2   | 53.0   | 46.2   |
| P/B (x)          | 13.1   | 14.1    | 13.6    | 15.6   | 12.1   |
| EV/EBITDA (x)    | 28.6   | 145.8   | 56.8    | 26.8   | 23.8   |

Source: Company

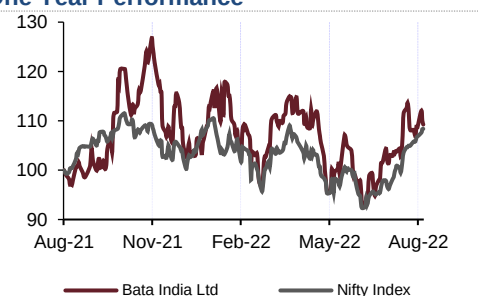
| Rating      | TP (Rs)      | Up/Dn (%) |
|-------------|--------------|-----------|
| <b>HOLD</b> | <b>2,001</b> | <b>4</b>  |

#### Market data

|                      |                    |              |
|----------------------|--------------------|--------------|
| <b>Current price</b> | <b>Rs</b>          | <b>1,922</b> |
| Market Cap (Rs.Bn)   | (Rs Bn)            | 247          |
| Market Cap (US\$ Mn) | (US\$ Mn)          | 3,109        |
| Face Value           | Rs                 | 5            |
| 52 Weeks High/Low    | Rs 4.12 / 1551.361 |              |
| Average Daily Volume | ('000)             | 1,079        |
| BSE Code             |                    | 500043       |
| Bloomberg            |                    | BATA:IN      |

Source: Bloomberg

#### One Year Performance



Source: Bloomberg

| % Shareholding | Jun-22     | Mar-22     |
|----------------|------------|------------|
| Promoters      | 50.16      | 52.96      |
| Public         | 49.84      | 47.04      |
| <b>Total</b>   | <b>100</b> | <b>100</b> |

Source: BSE

Kunal Bhatia

(022) 67141442

[kunal.bhatia@dalal-broacha.com](mailto:kunal.bhatia@dalal-broacha.com)

## Bata Conference Call KTA's

### RETAIL BUSINESS

- June trajectory was in-line with management expectations
- **SCHOOL Shoes:** School shoes which was ~10% Q1FY20 did not generate similar revenue as schools were more relaxed in terms of norms and same is expected to be witnessed in July-22 as well.

### SNEAKER Proposition (a pillar of growth)

- Sneaker Studio implemented across 125 stores v/s 100 QoQ
- All Newer stores specially the Metro and T1 will have Sneaker studio. Opening standalone store on the cards

### E-COMMERCE

- E-Comm Sales 2.7x Q1FY22 and 1.7x QoQ || complains reduced to 5.2% v/s 6.9 QoQ
- Bata.IN ASP +19% YoY
- B2C Market places 2x growth
- Digital penetration @ 10% at similar levels of FY22

### STORES & Distribution

- 1605+ Exclusive Stores in 800+ towns
- New/ Relocation of Doors: COCO|Franchise|SIS= 21 || 25 || 43
- 64 Renovations & Facelift in Q1FY23 || FY23 will witness the highest level of renovation and face lifts
- Stores total 1888 v/s 1814 QoQ and 1700 YoY
- Store Q1FY23: break-up 68% COCO i.e. 1284 || 17% Franchise i.e. 323 || 15% SIS i.e. 281
- Store Q1FY22: Break-up 76% COCO i.e. 1292 || 14% Franchise i.e. 234 || 10% SIS i.e. 174
- Franchise Q1FY23 Store additions +20 || Towns 275+ || Vision 500 stores || Franchise store helping to cover smaller towns and in many cases Bata is the 1<sup>st</sup> entry player in the organized retail.
- Towns Covered 1079 v/s 917 YoY and 1047 QoQ (mapped directly)
- 39% distributors reached v/s 32% in Mar-22.

**Other KTA's**

- Volume pressure witnessed at entry price-point of Rs 500/-
- ASP Retail in top-30 metros and Tier-1 @ Rs 1000+ || Balance Retail @ ~Rs 800 || Distribution @ Rs 300
- Entry-levels price points (i.e. ~Rs 500 and below) were vacated: 70% of this would be occupied by 75-80 new articles
- WholeSale business EXIT run-rate was higher v/s Pre-Covid
- Discounting v/s Pre-Covid: Markdowns are lower and do not see this changing
- Ad-Spends in Q1FY23 ~ 5% of revenue v/s 2.7 to 3% full year. Dec-21 marketing activities were scaled up which came down in Q4FY22 and again went up in Q1FY23.
- Ad-spends have paid off as average age of women shoppers down by 1.2 years.
- Customer returns are reducing.
- Flexi Manpower doubled
- **Bata Sales Staff @ Store** not aggressive is being resolved by linking staff remuneration to outcome, 25% of the front-end staff pay is now variable. Net Promoter Score is also a barometer being watched closely ( stable @ 70 +700bps over 2021)
- Hush Puppies did well in Q1FY23 with rise in casual contribution.
- Men's Dress Category continues to lead

## Quarterly Snapshot

| Particulars ( Rs Mns)              | Q1FY23         | Q1FY22         | Growth         | Q4FY22         | Growth      | Q1FY20        | Growth Over Q1FY20 |
|------------------------------------|----------------|----------------|----------------|----------------|-------------|---------------|--------------------|
| Net Sales                          | 9430.18        | 2670.49        | 253.1          | 6652.47        | 41.8        | 8821.43       | 6.9%               |
| Other Income                       | 92.68          | 121.78         | (23.9)         | 187.49         | (50.6)      | 169.29        | -45.3%             |
| <b>TOTAL INCOME</b>                | <b>9522.86</b> | <b>2792.27</b> | <b>241.0</b>   | <b>6839.96</b> | <b>39.2</b> | 8990.72       | 5.9%               |
| Cost of Materials Consumed         | -821.74        | -331.49        | 147.9          | -700.01        | 17.4        | -377.55       | 117.7%             |
| Purchase of Stock in Trade         | -3604.03       | -1555.13       | 131.8          | -3856.31       | (6.5)       | -2823.07      | 27.7%              |
| Changes in Inventories             | 334.39         | 715.94         | (53.3)         | 1734.7         | (80.7)      | -794.18       | -142.1%            |
| Employee Cost                      | -1048.22       | -888.24        | 18.0           | -952.2         | 10.1        | -980.39       | 6.9%               |
| Other Expenses                     | -1844.24       | -951.68        | 93.8           | -1257.22       | 46.7        | -1309         | 40.9%              |
| EBIDTA                             | 2539.02        | -218.33        | (1,262.9)      | 1808.92        | 40.4        | 2599          | -2.3%              |
| <b>EBIDTA ( Excl O. Income)</b>    | <b>2446.34</b> | <b>-340.11</b> | <b>(819.3)</b> | <b>1621.43</b> | <b>50.9</b> | 2429.71       | 0.7%               |
| Less: Depreciation                 | -693.25        | -500.67        | 38.5           | -717.51        | (3.4)       | -730.07       | -5.0%              |
| PBIT                               | 1845.77        | -719           | (356.7)        | 1091.41        | 69.1        | 1868.93       | -1.2%              |
| Less: Interest Cost                | -249.04        | -229.86        | 8.3            | -245.4         | 1.5         | -313.51       | -20.6%             |
| <b>PBT ( Before Exceptional)</b>   | <b>1596.73</b> | <b>-948.86</b> | <b>(268.3)</b> | <b>846.01</b>  | <b>88.7</b> | 1555.42       | 2.7%               |
| Exceptional                        |                |                |                |                |             |               |                    |
| PBT ( Post Exceptional)            | 1596.73        | -948.86        | (268.3)        | 846.01         | 88.7        | 1555.42       | 2.7%               |
| Tax                                | -403.34        | 235.66         | (271.2)        | -216.41        | 86.4        | -548.12       | -26.4%             |
| PAT ( Reported)                    | 1193.39        | -713.2         | (267.3)        | 629.6          | 89.5        | 1007.3        | 18.5%              |
| <b>PAT ( Adjusted)</b>             | <b>1193.39</b> | <b>-713.2</b>  | <b>(267.3)</b> | <b>629.6</b>   | <b>89.5</b> | 1007.3        | 18.5%              |
| Equity                             | 642.64         | 642.64         | -              | 642.64         | -           | 642.64        |                    |
| FV                                 | 5              | 5              |                | 5              |             | 5             |                    |
| <b>EPS ( on adjusted PAT)</b>      | <b>9.3</b>     | <b>-5.5</b>    | <b>(267.3)</b> | <b>4.9</b>     | <b>89.5</b> | <b>7.8</b>    |                    |
| OPM                                | 25.9%          | -12.7%         |                | 24.4%          |             | 27.5%         |                    |
| NPM ( Reported PAT)                | 12.5%          | -25.5%         |                | 9.2%           |             | 11.2%         |                    |
| Tax Rate                           | -25.3%         | -24.8%         |                | 25.6%          |             | -35.2%        |                    |
| <b>% of Total Operating Income</b> |                |                |                |                |             |               |                    |
| <b>RAW MATERIALS</b>               | -43.4%         | -43.8%         |                | 42.4%          |             | -45.3%        |                    |
| Employee Cost                      | -11.1%         | -33.3%         |                | 14.3%          |             | -11.1%        |                    |
| Other Expenses                     | -19.6%         | -35.6%         |                | 18.9%          |             | -14.8%        |                    |
| <b>EXPENDITURE</b>                 | <b>-74.1%</b>  | <b>-112.7%</b> |                | <b>75.6%</b>   |             | <b>-72.5%</b> |                    |

Source: Dalal &amp; Broacha Research, Company

---

## Valuation & Outlook

---

In case of Bata pick-up over Pre-Covid levels is just 7%. A high single to low double digit CAGR growth over a normalized period of operation would be the key to watch; and justify the actions of taken by the management in-terms of product-mix change.

We believe the Brand “Bata” has a solid trustworthy recall value and the Outcome in-terms of absolute Revenue, post management efforts to connect with the youth would be a big trigger point.

At CMP of Rs 1925 Bata trades at 53x FY23e EPS of Rs 36.3 and 46x FY24e EPS of Rs 41.7. We believe the downside is limited, as sales are on an improvement trajectory on lower base.

We maintain **“HOLD”** (*with a target price of Rs 2001*) for long-term investors as the gestation period could be longer for profitability (peak Post Ind-As EBIDTA margins of 27.2% FY20) to come back to historic levels.

# Financial

| Bata India Ltd            |                 |                 |                 |                 |                 |                                  |                   |                  |                  |                  |                  |
|---------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|----------------------------------|-------------------|------------------|------------------|------------------|------------------|
| P&L (Rs mn)               | FY20            | FY21            | FY22            | FY23E           | FY24E           | Cash Flow St. (Rs. mn)           | FY20              | FY21             | FY22             | FY23E            | FY24E            |
| Net Operating Income      | 30,561.1        | 17,084.8        | 23,877.2        | 37,451.8        | 39,767.4        | Net Profit                       | 3,289.5           | (893.1)          | 1,029.9          | 4,666.6          | 5,354.3          |
|                           |                 |                 |                 |                 |                 | Add: Dep. & Amort.               | 2,958.0           | 2,647.5          | 2,419.6          | 2,410.6          | 2,368.9          |
|                           |                 |                 |                 |                 |                 | <b>Cash profits</b>              | <b>6,247.5</b>    | <b>1,754.4</b>   | <b>3,449.6</b>   | <b>7,077.3</b>   | <b>7,723.2</b>   |
| Raw Materials             | (12,965.8)      | (8,375.0)       | (10,868.1)      | (17,003.1)      | (17,616.9)      | (Inc)/Dec in                     |                   |                  |                  |                  |                  |
| Employee Cost             | (3,764.2)       | (3,398.2)       | (3,786.8)       | (4,165.5)       | (4,498.8)       | -Sundry debtors                  | 30.8              | (161.0)          | 76.5             | (308.9)          | (63.4)           |
| Other Expenses            | (5,510.1)       | (3,689.8)       | (5,037.3)       | (7,308.5)       | (7,721.8)       | -Inventories                     | (343.1)           | 2,654.0          | (2,626.3)        | (1,962.1)        | (659.8)          |
| Total Expenses            | (22,240.2)      | (15,463.0)      | (19,692.3)      | (28,477.1)      | (29,837.5)      | -Loans/advances                  | (191.7)           | 1,238.1          | 8.5              | -                | -                |
| <b>Operating Profit</b>   | <b>8,321.0</b>  | <b>1,621.8</b>  | <b>4,184.9</b>  | <b>8,974.7</b>  | <b>9,929.9</b>  | -Current Assets                  | (276.8)           | (489.8)          | (228.9)          | (278.5)          | (306.4)          |
| Depreciation              | (2,958.0)       | (2,647.5)       | (2,419.6)       | (2,410.6)       | (2,368.9)       | -Sundry creditors                | (1,126.3)         | (636.6)          | 164.2            | 2,006.8          | 237.1            |
| PBIT                      | 5,363.0         | (1,025.7)       | 1,765.3         | 6,564.0         | 7,561.0         | -Others                          | (302.0)           | 163.3            | 577.7            | 165.6            | 183.0            |
| Other income              | 686.8           | 940.9           | 559.9           | 581.3           | 465.4           | Change in working capital        | (2,209.1)         | 2,768.1          | (2,028.2)        | (377.1)          | (609.4)          |
| Interest                  | (1,177.4)       | (1,035.5)       | (928.2)         | (906.5)         | (868.2)         | <b>CF from Oper. activities</b>  | <b>4,038.4</b>    | <b>4,522.4</b>   | <b>1,421.4</b>   | <b>6,700.2</b>   | <b>7,113.8</b>   |
| Extraordinary Items       |                 |                 |                 |                 |                 | <b>CF from Inv. activities</b>   | <b>(13,513.4)</b> | <b>(285.7)</b>   | <b>(3,199.2)</b> | <b>(1,968.3)</b> | <b>(1,728.1)</b> |
| Profit before tax         | 4,872.4         | (1,120.3)       | 1,397.0         | 6,238.8         | 7,158.1         | <b>CF from Fin. activities</b>   | <b>10,711.1</b>   | <b>(2,907.8)</b> | <b>497.4</b>     | <b>(7,259.9)</b> | <b>(1,094.1)</b> |
| Provision for tax         | (1,582.8)       | 273.3           | (367.1)         | (1,572.2)       | (1,803.9)       | <b>Cash generated/(utilised)</b> | <b>1,236.1</b>    | <b>1,329.0</b>   | <b>(1,280.4)</b> | <b>(2,528.0)</b> | <b>4,291.6</b>   |
| <b>Reported PAT</b>       | <b>3,289.5</b>  | <b>(847.0)</b>  | <b>1,029.9</b>  | <b>4,666.6</b>  | <b>5,354.3</b>  | Cash at start of the year        | 8,403.1           | 9,639.2          | 10,968.2         | 9,687.7          | 7,159.7          |
| Extraordinary Items       | -               | -               | -               | -               | -               | Cash at end of the year          | 9,639.2           | 10,968.2         | 9,687.7          | 7,159.7          | 11,451.3         |
| Minority Interest         | 0.0             | 0.0             | 0.0             | 0.0             | 0.0             |                                  |                   |                  |                  |                  |                  |
| <b>Adjusted PAT</b>       | <b>3,289.5</b>  | <b>(847.0)</b>  | <b>1,029.9</b>  | <b>4,666.6</b>  | <b>5,354.3</b>  |                                  |                   |                  |                  |                  |                  |
|                           |                 |                 |                 |                 |                 |                                  |                   |                  |                  |                  |                  |
| Balance Sheet             | FY20            | FY21            | FY22            | FY23E           | FY24E           | Ratios                           | FY20              | FY21             | FY22             | FY23E            | FY24E            |
| Equity capital            | 642.6           | 642.6           | 642.6           | 642.6           | 642.6           | OPM                              | 27.2              | 9.5              | 17.5             | 24.0             | 25.0             |
| Reserves                  | 18,296.6        | 16,938.3        | 17,503.9        | 15,166.2        | 19,877.9        | NPM                              | 10.5              | (4.7)            | 4.2              | 12.3             | 13.3             |
| <b>Net worth</b>          | <b>18,939.2</b> | <b>17,580.9</b> | <b>18,146.5</b> | <b>15,808.8</b> | <b>20,520.5</b> | Tax rate                         | (32.5)            | (24.4)           | (26.3)           | (25.2)           | (25.2)           |
| Def. Tax Liab.+Minori     | -               | -               | -               | -               | -               | <b>Growth Ratios (%)</b>         |                   |                  |                  |                  |                  |
| Longterm Debt             | -               | -               | -               | -               | -               | Net Sales                        | 4.3               | (44.1)           | 39.8             | 56.9             | 6.2              |
| Short Term Debt           | -               | -               | -               | -               | -               | Operating Profit                 | 74.4              | (80.5)           | 158.0            | 114.5            | 10.6             |
| Total debt                | -               | -               | -               | -               | -               | PAT                              | (0.0)             | (125.7)          | (221.6)          | 353.1            | 14.7             |
| Lease Liability           | 10,353.5        | 8,596.7         | 8,912.9         | 8,704.7         | 8,337.0         |                                  |                   |                  |                  |                  |                  |
| <b>CAPITAL EMPLOYED</b>   | <b>29,292.7</b> | <b>26,177.5</b> | <b>27,059.4</b> | <b>24,513.5</b> | <b>28,857.5</b> |                                  |                   |                  |                  |                  |                  |
|                           |                 |                 |                 |                 |                 |                                  |                   |                  |                  |                  |                  |
| <b>Total fixed assets</b> | <b>3,564.1</b>  | <b>3,237.7</b>  | <b>3,104.2</b>  | <b>2,876.9</b>  | <b>2,615.9</b>  | <b>Per Share (Rs.)</b>           |                   |                  |                  |                  |                  |
| Goodwill                  | -               | -               | -               | -               | -               | Net Earnings (EPS) ( FV5)        | 25.6              | -6.6             | 8.0              | 36.3             | 41.7             |
| Investments               | -               | -               | -               | -               | -               | Cash Earnings (CPS)              | 48.6              | 13.7             | 26.8             | 55.1             | 60.1             |
| Inventories               | 8,736.8         | 6,082.8         | 8,709.1         | 10,671.2        | 11,331.0        | Dividend                         | 4.0               | 4.0              | 4.0              | 54.5             | 5.0              |
| Sundry debtors            | 632.7           | 793.7           | 717.2           | 1,026.1         | 1,089.5         | Book Value                       | 147.4             | 136.8            | 141.2            | 123.0            | 159.7            |
| Cash & bank               | 9,639.2         | 10,968.2        | 9,687.7         | 7,159.7         | 11,451.3        | Free Cash Flow                   | 113.7             | 40.7             | 13.2             | 55.7             | 58.6             |
| Loans & advances          | 1,246.6         | 8.5             | -               | -               | -               |                                  |                   |                  |                  |                  |                  |
| Other current assets      | 2,066.4         | 2,556.2         | 2,785.0         | 3,063.5         | 3,369.9         | <b>Valuation Ratios</b>          |                   |                  |                  |                  |                  |
| Sundry creditors          | (5,033.9)       | (4,397.3)       | (4,561.5)       | (6,568.3)       | (6,805.5)       | <b>P/E(x)</b>                    | <b>75.2</b>       | <b>(292.1)</b>   | <b>240.2</b>     | <b>53.0</b>      | <b>46.2</b>      |
| O. Current Liabilities    | (752.6)         | (917.2)         | (1,491.2)       | (1,640.3)       | (1,804.4)       | P/B(x)                           | 13.1              | 14.1             | 13.6             | 15.6             | 12.1             |
| Provisions                | (2,245.4)       | (1,832.5)       | (2,139.3)       | (2,108.4)       | (2,043.7)       | EV/EBIDTA(x)                     | 28.6              | 145.8            | 56.8             | 26.8             | 23.8             |
| <b>Working capital</b>    | <b>14,289.9</b> | <b>13,262.4</b> | <b>13,707.0</b> | <b>11,603.5</b> | <b>16,588.2</b> | Div. Yield(%)                    | 0.2               | 0.2              | 0.2              | 2.8              | 0.3              |
| Deferred Tax Assets       | 1,109.9         | 1,384.0         | 1,041.6         | 1,041.6         | 1,041.6         | <b>FCF Yield(%)</b>              | <b>5.9</b>        | <b>2.1</b>       | <b>0.7</b>       | <b>2.9</b>       | <b>3.0</b>       |
| Miscellaneous exp.        | -               | -               | -               | -               | -               | <b>Return Ratios (%)</b>         |                   |                  |                  |                  |                  |
| <b>CAPITAL DEPLOYED</b>   | <b>18,963.8</b> | <b>17,884.0</b> | <b>17,852.8</b> | <b>15,522.0</b> | <b>20,245.8</b> |                                  |                   |                  |                  |                  |                  |

Source: Dalal &amp; Broacha Research, Company

### Disclaimer

**Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B** (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. [www.dalal-broacha.com](http://www.dalal-broacha.com)

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

### Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

### Disclosures in respect of Research Analyst:

|                                                                                                                                                                                                                          |    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report: | No |
| Whether the Research Analyst or his/her relative's financial interest in the subject company.                                                                                                                            | No |
| Whether the research Analyst has served as officer, director or employee of the subject company                                                                                                                          | No |
| Whether the Research Analyst has received any compensation from the subject company in the past twelve months                                                                                                            | No |
| Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months                                                                                   | No |
| Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months                                           | No |
| Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months           | No |
| Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report                                                              | No |

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

| Name              | Designation      | E-mail                          | Phone        | Sector                    |
|-------------------|------------------|---------------------------------|--------------|---------------------------|
| Mr Kunal Bhatia   | Head of Research | kunal.bhatia@dalal-broacha.com  | 022-67141442 | Retail   FMCG   Logistics |
| Ms. Anusha Raheja | Analyst          | anusha.raheja@dalal-broacha.com | 022-67141449 | BFSI                      |
| Mr. Bhavya Gandhi | Associate        | bhavya.gandhi@dalal-broacha.com | 022-67141486 | Midcaps                   |
| Mr. Miraj Shah    | Associate        | miraj.shah@dalal-broacha.com    | 022-67141489 | FMCG   Retail             |
| Mr. Harsh Shah    | Associate        | Harsh.shah@dalal-broacha.com    | 022-67141496 | Midcaps                   |

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.  
Tel: 91-22- 2282 2992, 2287 6173 | E-mail: [equity.research@dalal-broacha.com](mailto:equity.research@dalal-broacha.com)